CORPORATE REPORTING

Suggested Answers
November-December 2025

Answer to the Question# 1:

Mars Limited and Its Subsidiaries
Statement of financial position
As at 31 December 2024

	Mars	Venus	Jupitar	Consol Adj	Consolidated	Work Ref
Assets						
Non-current assets						
Property, plant and equipment	493,341,947	374,227,498	129,247,798	(11,750,000)	985,067,243	W-3a, 3b, 4
Investments	1,216,022,248	88,718,645	4,356,250	(1,171,000,000)	138,097,143	W-11b, 11c
Advances, deposits & prepayments	213,673,529	38,663,918	26,662,003	-	278,999,450	
Deferred tax assets	14,856,947	8,084,552	1,366,099	-	24,307,598	
Goodwill	-	-	-	767,265,000	767,265,000	W-7
	1,937,894,671	**509,694,613**	**161,632,150**	**(415,485,000)**	**2,193,736,434**	
Current assets						
Inventories	386,780,634	156,018,600	72,604,732	(3,333,333)	612,070,633	W-2b
Trade and other receivables	435,098,254	314,840,617	93,234,196	-	843,173,067	
Due from related parties	260,449,548	50,801,311	31,113,266	(342,364,125)	-	W-2a
Advances, deposits and prepayments	131,579,017	31,006,282	35,387,936	-	197,973,235	
Cash and cash equivalents	152,746,706	70,149,169	51,684,205	-	274,580,080	
	1,366,654,159	**622,815,979**	**284,024,335**	**(345,697,458)**	**1,927,797,015**	
Total assets	**3,304,548,830**	**1,132,510,592**	**445,656,485**	**(761,182,458)**	**4,121,533,449**	
Equity						
Share capital	500,000,000	200,000,000	50,000,000	(250,000,000)	500,000,000	W-10
Retained earnings	1,279,244,682	349,322,953	124,827,420	(315,520,854)	1,437,874,201	W12, W13
OCI Reserve for actuarial difference	74,975,624	12,084,236	2,766,638	(10,620,170)	79,206,328	W-9
Non-controlling interest	-	-	-	173,322,691	173,322,691	W-8
	1,854,220,306	**561,407,189**	**177,594,058**	**(402,818,333)**	**2,190,403,220**	
Liabilities						
Non-current liabilities						
Long-term loan	400,000,000	75,000,000	62,500,000	-	537,500,000	
Retirement benefit obligations	138,735,320	71,470,808	24,940,373	-	235,146,501	
	538,735,320	**146,470,808**	**87,440,373**	**-**	**772,646,501**	
Current liabilities						
Current tax liability	23,130,645	3,221,462	2,044,058	-	28,396,165	
Short-term loan	371,816,708	29,560,327	39,173,120	-	440,550,155	
Trade and other payables	472,133,688	169,399,500	64,004,220	(16,000,000)	689,537,408	W-5
Due to related parties	44,512,163	222,451,306	75,400,656	(342,364,125)	-	W-2a
	911,593,204	**424,632,595**	**180,622,054**	**(358,364,125)**	**1,158,483,728**	

Total liabilities	**1,450,328,524**	**571,103,403**	**268,062,427**	**(358,364,125)**	**1,931,130,229**
Total equity and liabilities	**3,304,548,830**	**1,132,510,592**	**445,656,485**	**(761,182,458)**	**4,121,533,449**

Mars Limited and Its Subsidiaries
Statement of profit or loss and other comprehensive income
For the year ended 31 December 2024

	Mars	Venus	Jupitar	Consol Adj	Consolidated	Work Ref
Revenue	2,217,223,131	738,725,806	202,551,036	(55,000,000)	3,103,499,973	W-2b
Cost of sales	(1,512,811,120)	(485,125,614)	(117,552,676)	55,000,000	(2,060,489,410)	W-2b
Less: Provision for Unrealized Profit (PURP)	-	-	-	(3,333,333)	(3,333,333)	W-2b
Gross profit	**704,412,011**	**253,600,192**	**84,998,360**	**(3,333,333)**	**1,039,677,230**	
Administrative and selling expenses	(262,967,625)	(123,987,078)	(37,782,737)	-	(424,737,440)	
Reversal of Excess depreciation	-	-	-	250,000	250,000	W-4
Operating profit	**441,444,386**	**129,613,114**	**47,215,623**	**(3,083,333)**	**615,189,790**	
Finance income	1,307,928	305,052	260,888	-	1,873,868	
Finance costs	(43,497,074)	(5,660,939)	(5,647,869)	-	(54,805,882)	
Other income	15,059,010	16,197,174	768,355	-	32,024,539	
Other income - Reversal of net gain from land transfer	-	-	-	(12,000,000)	(12,000,000)	W-3a, 3b
Profit before tax	**414,314,250**	**140,454,401**	**42,596,997**	**(15,083,333)**	**582,282,315**	
Income tax expenses	(135,332,576)	(45,373,157)	(13,790,084)	-	(194,495,817)	
Net profit for the period	**278,981,674**	**95,081,244**	**28,806,913**	**(15,083,333)**	**387,786,498**	
OCI-Actuarial gain on retirement benefit (net of DT)	2,493,906	2,416,848	614,809	-	5,525,563	
Total comprehensive income for the period	**281,475,580**	**97,498,092**	**29,421,722**	**(15,083,333)**	**393,312,061**	

Allocation of Net Profit for the year

Total Consolidated Profit For the year		387,786,498
Less: NCI of Venus (20% of Venus profit 95,331,244) (W5)	(19,066,249)	
Less: NCI of Jupitar (35% of Jupitar profit 25,473,580) (W5)	(8,915,753)	**(27,982,002)**
Net Profit Attributable to Mars		**359,804,496**

Allocation of OCI for the year

Total Other comprehensive income for the year *(2,493,906+ 2,416,848+ 614,809)*		**5,525,563**
Less: NCI of Venus (20% of Venus OCI 2,416,848) (W5)	(483,370)	
Less: NCI of Jupitar (35% of Jupitar OCI 614,809) (W5)	(215,183)	**(698,553)**
OCI Attributable to Mars		**4,827,010**

Workings 1: Group Structure

- Mars owns 80% shares of Venus Ltd. where non-controlling interest (NCI) is 20%.
- Mars owns 45% shares of Jupitar and 25% though Venus (where Mars own 80% of Venus). Therefore, Mars's effective control over Jupitar is 45% + (25% x 80%) = 45% + 20% = 65%. Hence, NCI in Jupitar is 35%.

As Mars has significant control over both Venus and Jupitar, financial statements of both Mars and Jupitar will be included in the consolidation process.

Workings 2: Omission of intra-group transactions and balances

W-2a: Intergroup Receivables and Payables:

At the year end, Mars, Venus and Jupitar have receivables and payables to one another. All these outstanding inter-group balances should be omitted during consolidation:

	Mars (A/P)	**Venus (A/P)**	**Jupitar (A/P)**	**Total**
Mars (A/R)	-	222,451,306	37,998,242	**260,449,548**
Venus (A/R)	13,398,897	-	37,402,414	**50,801,311**
Jupitar (A/R)	31,113,266	-	-	**31,113,266**
Total	**44,512,163**	**222,451,306**	**75,400,656**	**342,364,125**

W-2b: Inter-group Sales:

During the year Mars purchase goods from Venus for BDT 15,000,000 where Venus earned 15% mark up. By the year end, the entire inventory has been sold off. Therefore, there is no adjustment required for unrealized profit in Venus's books of accounts. However, intercompany transactions between Mars and Venus of BDT 15,000,000 will be omitted.

During the year Mars also purchase goods from Jupitar for BDT 40,000,000 where Jupitar earned 20% mark up. At the year end, 50% of inventory remains unsold at Mars's warehouse. Therefore 50% of Markup earned by Jupitar remains unrealized and needs to be reversed during consolidation. Unrealized profit of (40,000,000 * (20/120) * 50/100) = BDT 3,333,333 should be removed from Jupitar's books of accounts. Furthermore, intergroup transactions between Mars and Venus of BDT 40,000,000 will be omitted.

The following entry should be considered during the consolidation process:

The following entry would be required for this inter group Sales:

Revenue - Venus	Dr.	15,000,000	
Cost of Sales - Mars	Cr.		15,000,000
Revenue - Jupitar	Dr.	40,000,000	
Cost of Sales - Mars	Cr.		40,000,000
Cost of Sales - Jupitar	Dr.	3,333,333	
Inventory - Mars	Cr.		3,333,333

Workings 3: Transfer of Land and Factory building:

W-3a: On 01 July 2024, Mars transferred land to Venus at BDT 200,000,000 which Mars acquired at the cost of BDT 180,000,000. Because of this transfer, Mars earned a gain of BDT 20,000,000. Because this is an intergroup transaction, this gain should be omitted during the consolidation process and land should be reported at original cost in the consolidated financial statements.

The following entries need to be considered during consolidation:

Other income - Mars	Dr.	20,000,000	
PPE - Venus	Cr.		20,000,000

W-3b: With the land, Mars also transferred to Venus a factory building for BDT 40,000,000. Construction of the factory was completed on 01 July 2018 at a cost of BDT 60,000,000, with expected useful life of 30 years. At the time of transfer the factory building had a useful life of 24 years (30 – 6) and a written down value of (60,000,000 * 24/30) = 48,000,000 after an annual depreciation of BDT 2,000,000. Therefore, Mars incurred a loss of (48,000,000 – 40,000,000) = 8,000,000 on the factory building which should be omitted during the consolidation process.

The following entries need to be considered during consolidation:

PPE – Venus	Dr.	8,000,000	
Other income - Mars	Cr.		8,000,000

W-4: After transfer, Venus recognized the factory at the acquisition cost (i.e. at BDT 40,000,000) and considered a useful life of 16 years. Till the reporting date, Venus charged 6 months depreciation of (40,000,000*0.5/16) = BDT 1,250,000 on this factory. However, for 6-month depreciation it should have been charged by (2,000,000 * 6/12) = 1,000,000 for the factory at the group level. Because of the transfer, depreciation of BDT (1,250,000 – 1,000,000) = BDT 250,000 has been overcharged from the original depreciation amount. This overcharge of depreciation needs to be adjusted during the consolidation process.

The following entries need to be considered during consolidation:

PPE – Venus (acc. depreciation)	Dr.	250,000	
Depreciation - Venus	Cr.		250,000

Workings 5: Dividend Income:

On 31 December 2024, Venus declared 10% dividend of BDT (200,000,000 x 10%) = 20,000,000 and recognized the dividend liability in Trade and other payables. As Mars owns 80% of the shares, it is entitled to 80% of the declared dividend which is BDT 20,000,000 x 80% = 16,000,000. Mars has not recognized the dividend income in its financial statements. As this is intergroup income, it would be omitted by reducing the payables in Venus and directly adding Mars Retained Earnings.

Workings 5: Consolidation Schedule of P&L

Workings 6: Calculation of net Asset:

W-6a: Net asset in Venus

Particulars	Balance Sheet Date	Acquisition Date	Post Acquisition	Share of Mars
Share Capital	200,000,000	200,000,000	-	
Retained Earnings	349,322,953			
Less: charge of additional dep	250,000	190,000,000	159,572,953	127,658,362
OCI Reserve	12,084,236	7,500,000	4,584,236	3,667,389
	561,657,189	**397,500,000**	**164,157,189**	
Share of Mars (80%)	**449,325,751**	**318,000,000**	**131,325,751**	**131,325,751**
Share of NCI (20%)	**112,331,438**	**79,500,000**	**32,831,438**	

W-6b: Net asset in Jupitar

Particulars	Balance Sheet Date	Acquisition Date	Post Acquisition	Share of Mars
Share Capital	50,000,000	50,000,000	-	
Retained Earnings	124,827,420			
Less: PURP	(3,333,333)	80,000,000	41,494,087	26,971,157
OCI Reserve	2,766,638	1,900,000	866,638	563,315
	174,260,725	**131,900,000**	**42,360,725**	
Share of Mars (65%)	**113,269,471**	**85,735,000**	**27,534,471**	**27,534,471**
Share of NCI (35%)	**60,991,254**	**46,165,000**	**14,826,254**	

Workings 7: Calculation of Goodwill in Net Asset method:

W-7a: Goodwill from Venus:

Consideration transferred	950,000,000
Less: Share of net asset acquired (working-6a)	(318,000,000)
Goodwill acquired	**632,000,000**

W-7b: Goodwill from Jupitar:

100% Consideration transferred from Mars	153,000,000
80% of Consideration transferred from Venus	68,000,000 [as Mars owns 80% of Venus]
Total Consideration transferred for Jupitar	**221,000,000**
Less: Net asset acquired (working-6b)	(85,735,000)
Goodwill acquired	**135,265,000**

Total Goodwill acquired (632,000,000 + 135,265,000) = **767,265,000.**

Workings 8: Non-Controlling Interest (NCI):

W-8a- NCI from Venus:

NCI at acquisition	79,500,000
20% Share of post-acquisition net asset (Working-6a)	32,831,438

Non-controlling interest	**112,331,438**

W-8b-NCI from Jupitar:

NCI at acquisition	46,165,000
35% Share of post-acquisition net asset (Working-6b)	14,826,253
Non-controlling interest	**60,991,253**
Total NCI (8a+8b)	**173,322,691**

Workings 9: Consolidated OCI:

Reported OCI of Mars	74,975,624
Add: 80% of Post acquisition OCI in Venus (W-6a)	3,667,389
Add: 65% of retained earnings in Jupitar (W-6b)	563,315
Consolidated Retained Earnings	**79,206,328**

Reported OCI of group companies (74,975,624 + 12,084,236 + 2,766,638) **= 89,826,498**

Consolidated Adjustments to be made = 79,206,328 - 89,826,498 = **(10,620,170)**

Workings 10: Consolidated Share Capital

Reported Share Capital of Mars	500,000,000
Reported Share Capital of Venus	200,000,000
Reported Share Capital of Jupitar	50,000,000
Total Share Capital of the companies	**750,000,000**
Less: Consol adjustment on share capital of Venus & Mars	(250,000,000)
Consolidated Share Capital	**500,000,000**

Workings 11: Consolidated adjustment on Investment

Working-11a: Total Investment of the companies

Reported Investment of Mars	1,216,022,248
Reported Investment of Venus	88,718,645
Reported Investment of Jupitar	4,356,250
Total reported Investment of the companies	**1,309,097,143**

Working-11b: Total investment made for acquisition of Venus & Jupitar

Consideration transferred for acquisition of Venus (W-7a)	(950,000,000)
Consideration transferred for acquisition of Jupiter (W-7b)	(221,000,000)
Total Investment made on subsidiaries	**1,171,000,000**

Working-11c: **Total investment to be reported (**1,309,097,143 - 1,171,000,000**) = 138,097,143**

Workings 12: Retained Earnings:

Reported retained earnings of Mars	1,279,244,682
Add: Reversal of net gain from land transfer (W3a, 3b)	(12,000,000)
Add: Recognition of dividend income (W4)	16,000,000
Add: Share of retained earnings in Venus (W-6a)	127,658,362
Add: Share of retained earnings in Jupitar (W-6b)	26,971,157
Consolidated Retained Earnings	**1,437,874,201**

Workings 13: Adjustments in Consolidated Retained Earnings:

Total Reported Retained Earnings (1,279,244,682+349,322,953+124,827,420)	= 1,753,395,055
Less: Consolidated retained earnings to be reported	= 1,437,874,201

Reducing adjustments in group retained earnings		= **315,520,854**

Workings 14: Allocation of Net Profit for the year

Total Consolidated Profit For the year		387,786,498
Less: NCI of Venus (20% of Venus profit 95,331,244) (W5)	(19,066,249)	
Less: NCI of Jupitar (35% of Jupitar profit 25,473,580) (W5)	(8,915,753)	**(27,982,002)**
Net Profit Attributable to Mars		**359,804,496**

Workings 15: Allocation of OCI for the year

Total Other comprehensive income for the year *(2,493,906+ 2,416,848+ 614,809)*		**5,525,563**
Less: NCI of Venus (20% of Venus OCI 2,416,848) (W5)	(483,370)	
Less: NCI of Jupitar (35% of Jupitar OCI 614,809) (W5)	(215,183)	**(698,553)**
OCI Attributable to Mars		**4,827,010**

Answer to the Question# 2(a) & (b):

To: Finance Director
From: Financial Controller

Subject: Accounting for Complex Transactions

1. Bundled Sale Contract (IFRS 15)

- **(a) Error:** Recognising the full BDT 800,000 as revenue is incorrect. The contract has four performance obligations (hardware, installation, support, and the material right in the discount voucher). The transaction price must be allocated to all four.
- **(b) Correct Treatment:**
  i. **Standalone price of voucher:** 40% discount on BDT 150,000 average purchase = BDT 60,000. Probability of redemption = 50%. Standalone value = 60,000 x 50% = BDT 30,000.
  ii. **Allocate Transaction Price:** Total SSP = 600k+100k+300k+30k = BDT 1,030,000.
    - Hardware: 800k x (600/1,030) = BDT 466,019.
    - Installation: 800k x (100/1,030) = BDT 77,670.
    - Support: 800k x (300/1,030) = BDT 233,010.
    - Voucher: 800k x (30/1,030) = BDT 23,301.
  iii. **Recognise Revenue:**
    - Hardware & Installation: Recognise BDT 466,019 + 77,670 = BDT 543,689 immediately.
    - Support: Recognise over 2 years. For Y/E 30 Sep 25: 233,010 x (3/24) = BDT 29,126.
    - Voucher: Recognise when redeemed or expires. At year-end, this is deferred income.
    - **Total Revenue 2025 = BDT 572,815.** The remainder is deferred income.

2. Decommissioning Provision (IAS 37)

- **(a) Error:** The provision was calculated on an undiscounted, straight-line basis. It must be measured at present value, and changes in estimates (cost and discount rate) must be accounted for correctly.
- **(b) Correct Treatment:**
  i. **Initial Provision (1 Oct 24):** PV = 500m / (1.08)^10 = BDT 231.6m. This is added to the cost of the plant.
  ii. **Unwinding at 30 Sep 25 (old basis):** Finance cost = 231.6m x 8% = BDT 18.5m. Carrying amount before re-estimation = 231.6 + 18.5 = BDT 250.1m.
  iii. **Revised Provision (30 Sep 25):** New PV of future cost = 550m / (1.07)^9 = BDT 299.16m.
  iv. The increase in the provision (299.16mm - 250.1m = BDT 49.04m) is added to the cost of the plant

asset.

3. Share Appreciation Rights (SARs) (IFRS 2)

- **(a) Error:** This is a cash-settled scheme creating a liability, not equity. The liability must be remeasured to fair value at each reporting date. The performance condition must also be considered.
- **(b) Correct Treatment:**
  i. A liability must be recognised. As management expects the profit target to be met, the expense should be accrued.
  ii. Cumulative expense/liability at 30 Sep 2025 = 100,000 SARs x BDT 180 (year-end FV) x (1 year / 3 year vesting period) = BDT 6,000,000.
  iii. An expense of BDT 6 million is recognised in P&L, with a corresponding liability.

4. Development Costs (IAS 38)

- **(a) Error:** Costs before the capitalisation criteria were met must be expensed. Amortisation must be charged from the date the asset is available for use.
- **(b) Correct Treatment:**
  i. Total spend = BDT 200m. Costs incurred from 1 Oct 24 - 31 Dec 24 (3 months) must be expensed: 200m x (3/12) = BDT 50 million. This amount reduces the cost of intangible as the entire BDT 200 million was capitalised.
  ii. Costs from 1 Jan 25 - 30 Sep 25 (9 months) can be capitalised: 200m x (9/12) = BDT 150 million.
  iii. Asset available for use from 1 July 25. Amortisation for the year = (150m / 3 years) x (3/12) = BDT 12.5 million.
  iv. Carrying amount at 30 Sep 25 = 150m - 12.5m = BDT 137.5 million.

5. Asset Exchange (IAS 16)

- **(a) Error:** The new machine was recorded at the carrying amount of the old asset plus cash. As the transaction has commercial substance and the fair value of the new asset is reliably measurable, it should be recorded at its fair value.
- **(b) Correct Treatment:**
  i. The new machine should be recognised at its fair value of BDT 100 million.
  ii. A gain or loss on disposal of the old machine must be calculated.
  iii. Gain/Loss = Fair value of consideration received - Carrying amount of asset given up.
  iv. Consideration received = (Fair value of new asset BDT 100m - Cash paid BDT 20m) = BDT 80 million.
  v. Gain on disposal = BDT 80m - BDT 70m (carrying amount) = BDT 10 million. This is recognised in profit or loss.

Answer to the Question# 3(a):

A comparative analysis of the CD Ltd.'s performance with the industry data:

		CD Ltd	Industry Data
Gross ROCE	(15,200 - 8,500) / (600 + 5,760)	105.3%	
Pre-tax ROCE	1,200 / (600+5760)	18.9%	14.0%
Gross profit rate	(15,200 - 8,500) / 15,200	44.1%	
Pre-tax profit rate	1,200 / 15,200	7.9%	5.0%
Non-current assets turnover	15,200 / 5,500	2.76	
Receivables days	(876 /14,730) x 365	21	75
Payables days	(1,464/8,500) x 365	63	35
Inventory days	(1,400 / 8,500) x 365	60	
Revenue per employee - Tk.	(15,200 / 75) x 1,000	202,667	152,000
Pre-tax profit per employee	(1,200 / 75) x 1,000	16,000	7,650

Dividend cover	840 / 400	2.10
Current ratio	(1,400 + 876 + 192) /1,464	1.69
Quick ratio	(876 + 192) /1,464	0.73

Analysis:

Pre-tax ROCE and pre-tax profit rate – These are 35% and 58% higher than industry average, which supports the view that CD Ltd is able to charge high prices. This would appear to be a result of the specialism of the services that CD Ltd provides. Additionally, there may be strict cost control within CD Ltd, further allowing it to generate higher margins. Should CD Ltd be acquired by Dragon Ltd then the products will be available at 'cost', thereby saving Dragon Ltd.'s money, while allowing it to potentially benefit from the premium prices it can charge to Wizard's other main customer."

Receivables days – At 21 days, these are exceptionally low compared to the industry average. This is probably due to the fact that CD Ltd only has two main customers, making it possible to form close working relationships. Given the specialism that CD Ltd provides, it is likely that its customers do not want to sour this relationship by delaying payment. There is no reason to believe that this will change if Dragon Ltd acquires the company.

Payables days – At 63 days, this is almost twice the industry average and reflects either a strict cash management policy within CD Ltd, or potentially a cash flow problem. Given the high profitability within CD Ltd, and its healthy balance sheet, it would appear that CD Ltd has squeezed its suppliers quite hard. Once acquired by Dragon, this strategy may need to change to bring it in line with company policy.

Inventory days – At 60 days, this indicates the time that inventory is held by CD Ltd. This demonstrates that the production process within CD Ltd is about two months and may be a reflection of the complexity of the manufacturing process that it undertakes. It may be a result of the safety checks, which are a key feature of supply in the chip industry, and the time taken to do this may contribute to the 60 days figure.

Revenue and profit per employee – These are, respectively, 33% and 109% higher than industry average, which is a further reflection of the profitability and revenue generation abilities of CD Ltd. This is further evidence of its ability to charge high prices and possibly control costs. Interestingly, we are told nothing about the salaries within CD Ltd and it may be that as a smaller firm, their salaries may be different to those within Dragon Ltd. Should CD Ltd.'s salaries be higher than Dragon's, this could lead to demands for higher wages among Dragon's workforce. In terms of costs, it may well be that once CD Ltd is acquired, the greater purchasing power which a larger company would have may lead to further economies of scale and even cheaper supplies.

Dividend cover – As CD Ltd is not a listed company, its dividend ratio is not strictly comparable with Dragon's. What is relevant is that it evidences CD Ltd.'s ability to pay dividends and hence generate cash. This is potentially good news for Dragon as it has recently cut its own dividends, which will have disappointed shareholders.

Liquidity ratios – Without industry statistics, these are in themselves fairly meaningless. However, the current ratio is greater than one, indicating good liquidity, and the quick ratio is close to one. Allied with its low receivables and high payables days, this indicates that CD Ltd does not appear to have cash flow problems.

Overall – Revenue has been increasing from 2021 to 2024, except slightly decreased in 2022, whereas pre-tax profit has been continuously decreasing due to the cost of sales or overhead costs increasing over the last 4 years. It would appear from the above analysis that CD Ltd is a profitable company that does not appear to have any liquidity or working capital concerns.

Answer to the Question# 3(b):

Adjustment (1):

The calculations are shown in full digits for clarity, expression in millions is fine and acceptable for answer to this adjustment.

This highlights a common issue when internal systems are not configured to handle complex promotional structures. The new invoicing system created a material misstatement in the financial records. The promotion was "Buy 2, Get 1 Free." This means for every 3 units delivered, 2 were paid for, and 1 was free.

- Total Units Delivered: 50,000 packs
- Proportion of Paid Units: 50,000×(2/3) ≈ 33,333 packs
- Proportion of Free Units: 50,000×(1/3) ≈ 16,667 packs

Correct Financial Values are as under:

Item	Calculation	Correct Value
Actual Cash/Revenue	33,333 packs × Tk. 250	**Tk. 8,333,250**
Total COGS	50,000 packs × Tk. 180	**Tk. 9,000,000**
Cost of Free Goods	16,667 packs × Tk. 180	**Tk. 3,000,060**

The Invoicing System's Error: The system's error caused two major problems:

i **It overstated Revenue:** The system recorded revenue for all 50,000 packs delivered at Tk. 250 each (Tk. 12,500,000). Since cash was only received for the 33,333 paid units (Tk. 8,333,250), accordingly the system debited a non-existent Accounts Receivable for the difference. Accordingly, Revenue is overstated by: Tk. 12,500,000 − Tk. 8,333,250 = Tk. 4,166,750.

ii **It overstated/created fictitious receivables:** Since all sales were made in cash, the corresponding Accounts Receivable of Tk. 4,166,750 is a fictitious asset and must be eliminated.

Revision of Inventory and COGS Entries:

No rectification is needed for COGS or Inventory.

The treatment of Inventory and Cost of Goods Sold (COGS) is correct under standard accounting practice for a "Buy 2, Get 1 Free" promotion. This is because the cost of all 50,000 units delivered (Tk. 9,000,000) must be expensed to accurately reflect the reduction in inventory. And this was done correctly. Accordingly, the cost of the free goods (Tk. 3,000,060) is properly included in the total COGS, as this represents the direct cost incurred to generate the revenue from the paid units.

Comparison of Erroneous vs. Correct Entries

Account	Erroneous Entry (System Recording)	Correct Entry
Cash (Actual inflow)	DR Tk. 8,333,250	DR Tk. 8,333,250
Accounts Receivable (Fictitious)	DR Tk. 4,166,750	DR Tk. 0
Sales Revenue	CR Tk. 12,500,000	CR Tk. 8,333,250
COGS (50,000 packs)	DR Tk. 9,000,000	DR Tk. 9,000,000
Inventory (50,000 packs)	CR Tk. 9,000,000	CR Tk. 9,000,000

Rectifying Journal Entry

Correction is needed for the overstated Sales Revenue and eliminate the fictitious Accounts Receivable. Below adjusting entry should be passed:

Date	Account	Debit	Credit
31-Jan-25	Sales Revenue	4,166,750	

	Accounts Receivable	4,166,750

Adjustment (2):

Calculation of borrowing costs: As the exact rates are not available for BDT 30 million and BDT 20 million, a weighted average rate is required to calculate the borrowing costs. This can be done in two different ways, either one is correct.

Option-1:

Rate	Loan	Total Loan	Calculation	Result
10% Bank Loan	110	110+70 = 180	10% X 110/180	6.1%
9.5% Bank Loan	70	110+70 = 180	9.5% X 70/180	3.7%
			Weighted average rate	9.8%

Option 2:

	BDT m
Interest costs for 10 % Bank loan for full year = 110 X 10% = 12	11
Interest costs for 9.5 % Bank loan for full year = 70 X 9.5% = 12	6.65
Total Interest costs	17.65
Total value of loan at the end of the year (110+70)	180
Weighted Average Cost of interest 17.65 ÷ 180	**9.8%**

Borrowing costs for the eligible asset: (BDT 30m X 9.8%) + (BDT 20m X 9.8% X 3/12) = BDT 3.43m

The borrowing cost of Tk. 3.43m was not capitalised, which is non-compliance with IAS 23. So this should be adjusted. Below is the revised Journal Entry is to make this adjustment:

Particulars	Debit	Credit
Capital work in progress	3.43	
Finance cost		3.43

Adjustment (3):

Error that occurred in this case:

- The Finance Manager received BDT 12m in cash and did not account for it.
- He did not remove the asset (machinery) and its accumulated depreciation from the books.
- He did not recognize gain/loss on disposal.
- He did not recognize the other receivable for the remaining part of the agreed sales price of the asset.

The calculations and correct treatment under IAS 16 would be as under:

We need to remove both cost and accumulated depreciation, compare the net book value (NBV) with the proceeds, and recognize a gain/loss. Below is the calculation:

- Cost of machinery = BDT 50m
- Accumulated depreciation = BDT 15m
- Carrying amount / NBV = BDT5 0m – BDT 15m = BDT 35m
- Agreed sale price (after tender) = BDT 30m
- Loss on disposal of assets = NBV – Agreed sale price = BDT 35m – BDT 30m = BDT 5m
- Cash actually received and kept in cashier's drawer = BDT 12m
- Other receivables = BDT 30m – BDT 12m = BDT 18m

The financial statements should be updated with the below adjusting entry – numbers in BDT million:

Particulates	Debit	Credit
Cash	12	
Other receivable	18	
Accumulated Depreciation	15	

Loss on asset disposal	5
Plant and Machinery	50

Answer to the Question# 4(a):

Conclusion on the Extent of Reliance on Internal Control of the Financial System of Tara

The information gathered reveals significant, pervasive weaknesses and breakdowns in internal control across multiple domains, including:

- **System Integration and Completeness:** The core ERP, 'Infosync,' is not fully integrated. Critical business processes like **invoicing** and **Fixed Assets (FA) management** are handled outside the system, requiring manual data entry. This introduces high risks of errors, omissions, data inconsistency, and fraudulent manipulation.
- **Segregation of Duties and Governance:** The project was declared an "IT project" and led primarily by the IT Manager, who lacks sufficient financial expertise (only a 3-month diploma in accounting) and has overriding authority (brother-in-law of the MD). The Finance Team's lack of involvement in the Chart of Accounts design and subsequent need to pass manual adjusting journals to correct or override the system reflects a fundamental breakdown in control and the appropriate segregation of duties between **system design/IT governance** and **financial reporting/business ownership**.
- **System Security and Access Control:** The refusal or inability to grant a "Read Only" access to the auditors suggests a significant weakness in system functionality, IT management controls, or a deliberate attempt to limit transparency. The general access for the Finance Team to pass "manual journals all the time" indicates a lack of proper **access control and approval workflows** for critical journal entries.
- **Data Integrity and Audit Trail:** The inability to provide an aging schedule for debtors and the discrepancy between the sub-system invoice data and the Infosync ledger accounts for receivables indicate severe problems with **data integrity, completeness, and reliability** within the ERP. Furthermore, the inventory module's inability to provide **item-wise data** means the system is not recording the fundamental operational details required for effective inventory control and financial audit, relying instead on high-risk manual reconciliations by Depot managers.
- **Management Override and Ethical Environment:** The Finance Manager's comments regarding the five large debtors (relatives of the Marketing Director) and the inability to provide an aging schedule, combined with the lack of an Internal Audit Team and the MD's relatives being the IT Manager and the software vendor, points to a highly compromised **control environment** where management override and related-party influences threaten the integrity of the financial statements.

Given these systemic failures, the audit team cannot rely on the design or operating effectiveness of the internal controls. The reliance on the internal controls of Tara Pharmaceuticals Limited's financial system should be assessed as extremely low, or essentially non-existent, for the year ended June 30, 2025. The information provided in the financial statements will be less reliable. Downloaded data from a weak/less reliable financial system, and sending those through spreadsheets will not improve the quality and thereby reliance on the information. This significantly increases audit risks. Reliance should be made more on the substantive and walk through test outcomes.

Answer to the Question# 4(b):

Audit Approach, Risks, and Mitigating Actions

The audit approach must be a **predominantly substantive approach**, focusing on direct evidence gathering rather than testing controls.

<u>Revenues</u>

Audit Risks (High to Very High)

Completeness & Accuracy: Risk that not all sales are recorded in Infosync due to the separate invoicing system and manual transfer.

Mitigating Actions:

Perform Extensive Analytical Procedures on revenue trends.

Substantive Testing: Select a large, random sample of invoices from the invoicing sub-system and agree them to the general ledger (Infosync). Perform Sales Cut-off Testing around year-end

Receivables

Existence & Valuation: High risk of non-existent/uncollectible debtors (e.g., related parties) due to lack of aging support and data discrepancies between systems. Perform Extensive Analytical Procedures on revenue trends.

Mitigating Actions:
Direct Confirmation: Perform external confirmations with a large sample of debtors, including all 5 significant related-party debtors.

Vouching: Obtain and test payment receipts subsequent to year-end for outstanding balances.

Valuation: Critically assess the allowance for doubtful accounts, challenging management's assertions given the lack of system-generated aging.

Inventory

Existence & Valuation: High risk that inventory quantities/values are misstated due to no item-wise data in Infosync, reliance on manual depot records, and lack of internal audit oversight.

Mitigating Actions:
Physical Inventory Count: Attend and supervise the physical count at a sufficient sample of the 20 Depots. Count a large sample of items and reconcile the counted quantities to the manual records and the financial total in Infosync.

Valuation: Test cost of inventory through vouching purchase invoices, and scrutinize for potential obsolescence given the pharmaceutical nature of the products.

Fixed Assets

Completeness, Existence & Valuation: High risk of error/omission because FA records are maintained on an unaudited, manual spreadsheet, with manual journal entries for depreciation/additions.

Mitigating Actions:
Substantive Testing of Details: Request the manual FA spreadsheet. Existence: Select a sample of high-value assets from the spreadsheet and physically verify their existence. Completeness/Additions: Vouch a sample of capital expenditure from the bank/cash payments to the FA spreadsheet and Infosync entries. Accuracy: Recalculate depreciation for a large sample.

Answer to the Question# 4(c):

Ethical Issues in the Governance Process and Suggested Control Improvements

Ethical Issues in Governance Process

The case reveals severe ethical issues that compromise the integrity of the financial reporting and the control environment:

- **Nepotism and Undue Influence:** The IT Manager is the brother-in-law of the Managing Director (MD), and the software vendor is also a close relative of the MD. This creates a highly compromised structure where the IT Manager is effectively insulated from accountability, and decisions (e.g., system design, going live without critical modules, related-party debtor balances) may be based on self-interest rather than the company's best interest.
- **Management Override of Controls:** The Finance Manager states, "The aging support was available earlier, now we don't have this support," and points to the related-party debtors. This, combined with the IT Manager's sole authority, suggests a severe risk of management overriding controls for personal or related-party benefit.
- **Lack of Professional Competence and Due Care:** The IT Manager, with a 3-month accounting diploma, designed the Chart of Accounts and accounting instructions, which the professional Finance Team has to

manually correct. This demonstrates a clear lack of professional competence and a failure by the Board/MD to exercise due care in the critical area of financial system implementation.

- **Impairment of Auditor Independence/Access:** The refusal to provide "Read Only" access and the offer to provide "spreadsheets directly from the ERP" (implying non-system-generated data) is an attempt to obstruct the audit and limit transparency, violating the principle of professional behaviour and access to information.

Suggested Control Improvements

Governance & Oversight: Establish an Independent Audit Committee: The Committee (with external, financially literate members) must oversee the financial reporting process and internal controls, reporting directly to the Board (not the MD).

Mandate an Internal Audit Function: Immediately hire or outsource an internal audit team to continuously review the system's operation and internal controls.

System Development & Implementation

Re-establish Business Ownership: Redesignate the ERP as a Business Project, not an IT Project. The Finance Manager/CFO must be the project sponsor and owner for all financial modules (General Ledger, Receivables, Fixed Assets, Inventory Valuation). The IT department's role is to provide technical support and security

System Functionality & Integration

Mandate Full System Integration: Immediately halt the use of the separate invoicing system and manual FA spreadsheet. The Infosync vendor must be contracted to deliver and integrate the Fixed Assets module and fully integrate the invoicing system to ensure data completeness and integrity.

IT Controls & Data Integrity

Implement Standard Access Controls: The system must be configured to grant different levels of access, including Read-Only access for auditors and appropriate users. Fix Data Integrity Issues: Require the IT Team to restore/reconfigure the system to produce mandatory operational reports, such as a Debtors Aging Schedule and Item-Wise Inventory Reports.

Answer to the Question# 5(a):

Key Planning Considerations

- ***Professional Skepticism and Risk Assessment:***
  As this is a first-year audit, obtaining a deep understanding of NFL's business model, control environment and accounting systems is critical. The weak governance structure, limited internal audit capacity and informal controls heighten the risk of material misstatement (ROMM) at both financial statements and assertion levels. Consistent management claims of "stable practices" should not reduce skepticism.

- ***Opening Balances and Comparative Information (ISA 510):***
  Because the predecessor auditor issued a qualified opinion for receivables, inventory valuation and deferred tax, MBS must obtain sufficient appropriate evidence regarding:

  - The appropriateness of opening balances of receivables and inventories.
  - Whether deferred tax liabilities/assets should have been recorded.

  These areas must be reassessed as they may impact the current year's profit and equity.

- ***Engagement Acceptance Issues:***
  Understanding reasons for predecessor's modified opinion and whether management addressed them is essential. The fact that prior issues persist increases the likelihood of continued misstatements and potential management bias.

- ***Independence Checks and Ethical Threats:***
  Two independence threats exist:
  - A staff member holding NFL shares (self-interest threat).
  - A team member whose brother works in NFL marketing (familiarity/advocacy threat).

These require removal from the engagement or equivalent safeguards.

- ***Internal Control Environment Considerations:***
  Audit Committee only meets once a year, internal audit is junior, and documentation is weak. As control reliance is low, the audit plan should adopt a predominantly substantive approach.

- ***Communication with Those Charged with Governance:***
  Significant issues raised by predecessor auditor and continuing deficiencies must be communicated early to the Audit Committee.

Answer to the Question# 5(b):

Potential Key Audit Matters (KAMs), Why Significant, and How Addressed

Potential Key Audit Matter	**Why It Was Significant (Reason for KAM)**	**How the Matter Was Addressed in the Audit**
Recoverability of Receivable from Venus Fabrics (BDT 128 million)	• Material overdue balance outstanding for more than 12 months. • History of management unwillingness to recognize impairment (management bias). • Significant judgement involved in estimating expected credit losses under IFRS 9.	• Performed subsequent receipts testing and reviewed customer's financial standing. • Challenged management's assumptions in the ECL model. • Reviewed aging analysis and historical payment trends. • Ensured appropriate impairment adjustment was recorded.
Valuation of Damaged and Obsolete Inventory (BDT 64 million)	• Inventory balance is material and includes damaged/slow-moving items. • Management had previously ignored NRV reductions despite evidence. • Significant estimation required for determining NRV under IAS 2.	• Conducted physical inspection of damaged batches. • Reviewed aging reports and tested NRV calculations. • Evaluated post-year-end selling prices of similar items. • Verified adjustments to reduce inventory to NRV.
Revenue Recognition Near Year-End (BDT 92 million)	• Revenue is a significant account with inherent fraud risk (ISA 240). • Internal communication showed customers had *not accepted* goods at year-end (transfer of control not achieved). • High risk of cut-off errors and premature revenue recognition.	• Inspected sales contracts and acceptance terms. • Verified delivery documentation and customer confirmations. • Ensured revenue was reversed and recognized only upon acceptance. • Performed detailed cut-off testing.
Use of Workers Profit Participation Fund (BDT 5 million) and Understated Interest	• Use of WPPF funds violates Bangladesh Labor Law requirements. • Required interest: market rate + 2.5% ⇒ non-compliance leads to legal/regulatory risk. • Potential material understatement of expenses and liabilities.	• Calculated required interest using 7.5% market rate + mandated 2.5%. • Ensured accrual of unpaid interest. • Reviewed compliance disclosures and potential regulatory implications.
Deferred Tax Not Recognized	• Recurring issue noted by predecessor auditor. • Significant temporary differences exist, impacting profit and equity. • Misapplication of IAS 12 and material effect on financial statements.	• Identified temporary differences between tax bases and accounting carrying amount. • Recalculated deferred tax assets/liabilities. • Discussed impact with management and ensured recognition in Financial Statements.

Answer to the Question# 5(c):

Ethical Issues and Required Safeguards (Current and Predecessor Auditor)

Under ISA 720, the auditor must read Other Information (OI) to identify material inconsistencies with audited financial statements.

Identified Issues:

- Directors' Report claims revenue increased by 18% = BDT 720 million, but FS audited show 15% = BDT 600 million.
- Report states profit margin = 14%, but FS shows slightly above 9%.

Auditor Actions:

1. Discuss the inconsistencies with management and request correction of inaccurate statements.
2. Request revised Directors' Report to align with audited figures.
3. If management refuses:
   - Communicate to Those Charged with Governance.
   - Consider effects on auditor's report under ISA 720: Issue an Other Information section identifying uncorrected misstatements.
4. Assess whether inconsistencies indicate possible fraudulent reporting or management bias, which may affect overall audit risk.

Answer to the Question# 5(d):

Actions in Response to Inconsistencies Between Directors' Report and Audited Financial Statements

Current Auditor – MBS

1. Staff Member Holding Shares in NFL

- **Threat:** Self-interest threat compromising independence.
- **Safeguard:**
  - Remove the individual from the engagement.
  - Require disposal of shares if the individual wishes to continue involvement in listed company audits.

2. Team Member's Brother Working in NFL Marketing

- **Threat:** Familiarity threat; possible undue influence on judgement.
- **Safeguard:**
  - Remove the staff members from the engagement team.
  - Additional independent review of work performed by others.

Predecessor Auditor – Ethical Issues

1. Modified Opinion but Stated "Proper Books Maintained"

- Potential issue: Stating books were proper despite material accounting errors raises self-review or reporting inconsistencies.

2. Lack of Follow-Up on Recurring Issues

- If predecessor auditor did not escalate persistent violations of IAS 2, IFRS 9, and IAS 12, ethical concerns arise regarding diligence and professional skepticism.

Safeguards for Successor Auditor:

- Perform detailed review of predecessor's working papers (ISA 510).
- Communicate with predecessor auditor to understand reasoning for contradictory reporting.
- Report irregularities to TCWG if concerns about predecessor's reporting integrity arise.

---The End---